Decentralisation in Practice: Commons and Code

SID-40225 | ASGN2 Critical Essay

1. Introduction

Supporters of decentralised governance claim that spreading authority across many participants leads to better and fairer decisions. This essay evaluates that claim using two cases, community management of shared resources and open-source software projects, and argues that decentralisation improves outcomes in small, stable groups but struggles as organisations grow.

2. Shared resources

Ostrom (1990) studied communities that manage forests, fisheries and irrigation systems without central control. She found that many of these communities sustained their resources for generations because users designed their own rules, monitored one another and applied graduated sanctions.

These cases show that decentralised governance can work well. However, most of the communities Ostrom studied were small, had stable membership and had interacted for a long time, which made trust and monitoring easier.

3. Open-source projects

Open-source software is often presented as a modern example of decentralisation. Thousands of contributors can propose changes, and projects such as Linux have produced highly reliable software. At the same time, large projects usually rely on maintainers who have the final say over what is merged.

This suggests that successful open-source projects are not purely decentralised. They combine open participation with a small group that coordinates and makes final decisions, which reduces the delays that would come from requiring everyone to agree.

4. Discussion

Both cases point to the same pattern. Decentralisation brings in local knowledge and gives participants a sense of ownership, but as the number of participants grows, agreeing on decisions becomes slower and more costly. Freeman (1972) also warned that groups without formal structure often develop hidden leaders who are not accountable.

One limitation of this analysis is that it compares only two types of organisation, so it may not apply to companies or governments.

5. Conclusion

Decentralised governance can improve organisational outcomes, but mostly in small groups with shared norms. In larger organisations some central coordination is needed, which suggests that the best results come from a mix of decentralised participation and clear decision-making roles.

References

Freeman, J. (1972). The tyranny of structurelessness. Berkeley Journal of Sociology, 17, 151-164.

Ostrom, E. (1990). Governing the Commons: The Evolution of Institutions for Collective Action. Cambridge University Press.